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Research Briefing | Eurozone

Three reasons for the ECB to go big on Thursday

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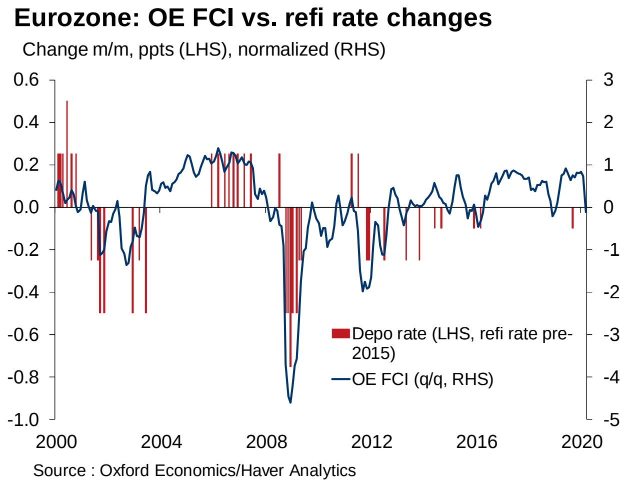
- **The chances of the ECB announcing a comprehensive easing package already in March have risen sharply over the weekend. We make our dovish scenario our new baseline call and expect targeted liquidity measures to be reinforced by a cut in the deposit rate and an increase in corporate bond purchases. An even larger package has become feasible to get ahead of panicking markets.**
- **Tumbling oil prices on back of the OPEC/Russia discord further curtail the outlook for headline and underlying inflation. The additional containment measures in Italy pose the risk of a more severe recession in H1. And fiscal policy is for now still focused on limiting the initial economic fallout from the virus outbreak. Steps to safeguard the H2 recovery are likely not imminent.**

Sharp drop in oil prices and further containment steps in Italy could be a trigger for larger ECB action

Financial market developments over the weekend, Italy's intensified lockdowns and the lack of sufficiently large pre-emptive fiscal support have put the ECB into a corner that it can likely only get out of by delivering a comprehensive stimulus package on Thursday. It was a close call to begin with, but we are now making our dovish scenario our baseline.

We now expect the ECB council to not only announce a number of targeted measures to support bank and firm liquidity through the next months via additional and eased TLTROs. But we also think that the deposit rate will be cut by 10bps to curtail the drag from the euro's appreciation (the euro has surged 6% versus the USD in the past two weeks) on financial conditions (**Figure 1**). Moreover, we think corporate bond purchases will be bumped up by at least €5bn per month to bring monthly asset purchases to €25bn to protect credit conditions. We had pencilled in those for April as we had thought that the ECB could get away with waiting for a little bit more data. Lastly, the chances of a larger QE increase to somewhere around €40bn via more government bond purchases on top of more corporate bond QE have clearly increased.

Figure 1:



The continued material and very fast tightening in financial conditions have pushed our proprietary index into rate cutting territory.
The surge in equity market volatility was the largest contributor to that tightening commensurate with the idea that the current uncertainty is making it impossible for markets to price the outlook.

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Consumer inflation expectations may be about to take a hit

The primary reason for the changed call is that the discord between the OPEC and Russia has led oil prices to drop into the abyss. Compared to Friday's close they are down some 20% and are currently hovering close to a 4-year low of about $36 per Barrel. This has dragged down market-based inflation expectations to new lows. The 5y5y inflation expectations have fallen to below 1% marking a fresh low. Admittedly, the eurozone is a net energy importer so if these price levels were sustained for some time, this would represent a sizeable boost to households' real incomes in the first instance. And the ECB may be worried that oil prices could well surge back once the worst of the disruptions in China and the rest of the world is over. However, we think the ECB cannot ignore the extent to which market-based inflation expectations have plunged. Lately, the ECB council has often pointed out that consumer's inflation expectations are well anchored at robust levels. But consumer sentiment is likely to take a hit in March amid the worsening virus outbreak and increasing containment measures.

Risks or a more severe recession in Italy in H1 are up sharply after new lockdown measures

Indeed, the areas affected by the Italian government's additional lockdown measures announced over the weekend account for around a third of the Italian economy. However, the north of Italy is not fully locked-down as the ban is not as strict as in other regions (such as the Hubei region in China). Movements of goods and people is still allowed under certain circumstances, such as work-related reasons. While this should partially limit the disruption in supply-chains and mitigate the negative effect on economic activities, we think that the risk of a severe recession in Italy have increased further since last week.

ECB should act or at least credibly promise to do so very soon

Combined with further sharp declines in share prices and the oil price hit we think the balance of risks is tilted too much to the downside and warrants a robust response as outline above. And it would likely also be helpful, if the ECB council made it clear that even if government bond purchases are not stepped up just yet, that the council is ready to do so. To reinforce that message, ECB president Lagarde could highlight that the self-imposed constraints on government bond purchases (foremost the issuer limit) are not set in stone. If the ECB fails to deliver a comprehensive package, we would expect the council to at least "task the committees", which is an often-used phrase to signal imminent action, and highlight the option of emergency council meetings in between the scheduled policy meetings following a similar move made by the Federal Reserve in the US.

Fiscal policy response still focused on limiting the immediate fallout from virus outbreak

As we have highlighted last week, the discussion about a meaningful fiscal and monetary policy response is not so much about the initial disruptions from the containment measures. It is primarily about propping up sentiment, reducing (perceived) uncertainty by households and businesses and safeguarding the expected economic bounce-back in H2.

On the fiscal front, there was little news over the weekend. It looks like governments are for now focusing on implementing and planning targeted support measures for affected firms and households, which we had expected. For instance, the German coalition leadership met last night and decided to materially ease the access to government subsidies reduction in working hours ('Kurzarbeit'), bridge loans and a few other steps. This is a broadly right and a welcome response limiting the hit to household incomes and firm profits. But we continue to think that more will be needed, once the fallout from the current economic shock becomes clearer. A temporary cut in the value added tax has been added to the domestic debate and may be a step to make sure that spending recovers.

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